

INDIRECT TAXES

AUDIT PROGRAM #15-10-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
January 2025	Process Definition and Objectives	Process	Joana Leal	Updated Enterprise Risk Management
January 2025	Planning	Reference Material	Joana Leal	Updated links
September 2023	Planning	Audit Program Risk Alignment	Joana Zacchur Leal	Changed "Cybersecurity and Data Protection" Defined Risk Area to "Access Management and Data Protection"
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

The tax process within IBM and its subsidiaries encompasses activities related to determining the applicability of a tax, use of the correct tax rate, calculation of the tax, and payment or recovery of taxes from the applicable tax jurisdiction which are unique to federal, state, and local governments. The indirect tax group in the U.S and non-U.S. countries are responsible for activities related to determining the applicability of a tax, use of the correct tax rate, calculation of the tax, billing, and collection of taxes from customers, and payment / recovery of taxes from the applicable tax jurisdiction. Additionally, for countries with a value added tax (VAT) or goods and services tax (GST), the tax process may include obtaining a refund of these taxes. Tax jurisdiction can include any municipality including country, province, region, state, city, or business district.

Tax payments are based on self-reporting with penalties for improper reporting and underpayments. IBM's reputation depends on accurate and timely payments to tax jurisdictions. The number of jurisdictions, varying tax types, and rates, increase the need for appropriate risk management to preserve IBM's reputation in an environment in which self-reporting is the norm.

The indirect tax organization may also be responsible for management of "tax holidays" or tax rebates/reductions offered by government agencies. These "tax holidays" have specific commitments related to the tax incentives.

Enterprise Risk Management (ERM):

<i>Strategic Risks</i>
AI differentiation, leadership, and monetization
Market preference for IBM hybrid multi-cloud offerings and as-a-service offerings
Ecosystem adoption of IBM technologies
Capital allocation strategy effectiveness
Transformation speed and achievement of productivity objectives

<i>Operational, Financial, & Regulatory Risks</i>
Hiring top talent and workforce re-skilling for strategy execution
Cybersecurity threats
Geopolitical tensions
Government and industry regulations
Reputational harm
Resiliency to business interruptions
Shifting economic and financial conditions
Supply chain vulnerability

Not all of these risks are captured by or relate to every process within IBM. The intent is to provide a general guide on which ERM risks generally relate to this process (risk in blue font).

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PROCESS AND OBJECTIVE (Continued)

<u>Enterprise Risk Management Risk</u>	<u>Application of ERM</u>	<u>Scope Area Covered</u>
Geopolitics and widening government and industry regulations	The audit team should ensure that new tax laws and new interpretations of existing tax laws have been implemented by the tax team. Additionally, the audit team should check that there are action plans in place as a result of government audit findings in order to ensure future compliance.	Governmental/External Audits, Tax Return, Output Tax, Input Tax, General
Cybersecurity	The audit team should ensure that sensitive data, such as IBM bank account data used for tax payments, FAS5 reserves, and revenues, are protected. Note: Generally, information like tax registrations, addresses, etc. are not sensitive. Although bank account data is not sensitive, it is on a need-to-know basis.	Tax Return, Output Tax, General
Reputational harm	Tax teams must ensure internal and external provider activities do not adversely affect IBM's reputation.	Input Tax, Output Tax, Tax Returns, Governmental/External Audits, General
Shifting economic and financial conditions	The audit team must be aware of the local economic cycle or any catastrophic events. In general, economic downturns may cause tax authorities to become more aggressive in their pursuit of tax dollars through audits, which should be reflected in the client's approach to FAS5 reserves.	Tax Returns, Output Tax, General
Preparedness for business interruptions	Tax teams should ensure leadership, process interdependencies, data centers and critical suppliers has a business continuity plan in case of any business interruptions.	Tax Returns, Tax Payments, Withholding Taxes and General

Tax definitions:

Sales and Use Tax:

The concept of Sales and Use tax is a U.S. centric philosophy. A sales tax is a tax on transactions involving the transfer of title or possession of property by a seller to a buyer for some consideration such as cash, credit, installment, layaway, exchange, or lease. In general, all tangible personal property sold at retail (to the end consumer) is subject to sales tax unless exempted by state tax law. Sales tax can also include certain enumerated services.

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PROCESS AND OBJECTIVE (Continued)

A use tax is a tax imposed on the privilege of ownership or possession, storage, use, or consumption of goods. It is a complimentary tax to sales tax, which means that you either pay a sale or a use tax but not both. Use tax is paid when manufactured goods are pulled from work in process or finished goods to be used internally, when a vendor does not bill IBM tax on a taxable invoice, when a vendor is not registered in the state of transaction, or when an exemption certificate is issued to a vendor and IBM uses the purchases in a taxable manner (i.e., resale certificate, direct pay certificate, other misc. exemption certificates).

Personal Property Tax (PPT):

PPT is paid on all IBM owned equipment (IBM Corp.) and IBM leased equipment installed with customers including IBM Global Financing (IGF). This tax is paid annually based on the assessed value of the property as of a given lien (assessment) date. An assessment is the value applied through discovering, listing, and appraising property. Property eligible to be taxed as PPT can include anything that is not real estate, including: furniture and fixtures, machinery and equipment, computer equipment, leasehold improvements, inventories, accounts receivables, cash in banks, stocks and bonds, and software.

Value Add Tax (VAT) or Goods and Services Tax (GST):

Value added tax (VAT) is tax on exchanges. It is levied on the value added that results from each exchange. It differs from a sales tax because a sales tax is levied on the total value of the exchange. For this reason, a VAT is neutral with respect to the number of passages that there are between the producer and the final consumer. A VAT is an indirect tax, in that the tax is collected from someone other than the person who actually bears the cost of the tax (namely the seller rather than the consumer). To avoid double taxation on final consumption, exports (which by definition, are *consumed* abroad) are usually not subject to VAT and VAT charged under such circumstances is usually refundable. Personal end-consumers of products, consumers and services cannot recover VAT on purchases, but businesses are able to recover VAT on the materials and services that they buy to make further supplies or services directly or indirectly sold to end-users. In this way, the total tax levied at each stage in the economic chain of supply is a constant fraction of the value added by a business to its products.

Input VAT:

Input VAT is defined as the VAT paid on supplies purchased by an individual or business. Usually, the amount of tax paid on inputs is available to reduce the overall amount of VAT owed. This is referred to as VAT recoveries.

Output VAT:

Output VAT is defined as the VAT that is charged to customers. The net of the input and output VAT is due to the taxing authorities.

This audit program is intended to be used for processes which manage end user and imputed taxes.

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PROCESS AND OBJECTIVE (Continued)

Tax Department Risk Scorecard:

The global indirect tax department annually reviews and prepares an indirect tax risk scorecard, which ranks risks on a number of different factors. The following chart shows the factors that are used in the scorecard:

Metric	Description	Income Tax	Sales Tax/VAT/GST
1. Tax throughput	This category assigns a numerical grade based on Global Indirect tax throughput for all the legal entities established in a specific country		✓
2. Country Tax Resource	Measure of the existing local country tax staff (quality, actual numbers vs plan, and bench)	✓	✓
3. Incentives	The approximate value of country tax incentives	✓	✓
4. Environment	A country's overall business climate, including the country's adherence to a formal and open tax administration process	✓	✓
5. Prior Audit Adjustments and Reserves (FAS5/FIN48)	The value of adjustments from tax jurisdiction audits in the previous years, and the value of country level reserves	✓	✓
6. Complexity	Measure of IBM's organizational complexity	✓	✓
7. Transfer Pricing	Evaluation of country's potential TP exposure	✓	
8 Tax Planning	The exposure caused by specific planning transactions that could impact a country's taxes	✓	

FAS – Financial Accounting Standard

FIN- Financial Accounting Standards Board (FASB) Interpretation Number

TP - Transfer Pricing

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PLANNING: Audit Program Risk Alignment

Indirect Taxes

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Compliance with Tax Regulations	High	Tax Returns and Payments Output Taxes Input Taxes	TR001.P, TR002.P OT001.P, OT002.P IT001.P
Output Tax	High	Output Taxes	OT001.P, OT002.P
Tax Returns	High	Tax Returns and Payments	TR002.P
Input Tax	Medium	Input Taxes	IT001.P
Access Management and Data Protection	Medium	Tax Returns and Payments	TR002.P
Account Reconciliation	Medium	Balance Sheet Account Reconciliations	BS001.P
Tax Payment	Low	Tax Returns and Payments	TR001.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Sales transactions from all fulfillment systems	Use various filters determine: - Which tax rates are being applied to different types of sales transactions. - Whether the tax on credit notes match the original billings. - Whether customers indicated as being "exempt" or a similar designation are being billed for taxes. - If re-calculated tax rates (amount of tax / net invoice value) are equal to the tax rates designated to each respective tax code.	Based on local law: - There may be mismatches between tax code/rate and sales transaction type within the data. - There may be instances where changes to customer master records were made between the time of the original billing and the issuing of the credit note. This could result in inaccurate billings. - Customers indicated as "exempt" may be charged tax due to incorrect system tables or human overrides of system-generated information.	These items could indicate that system tables have not been properly updated, data input controls are inadequate, or that tax has not provided sufficient guidance to customer fulfillment teams regarding the appropriate use of tax rates. Furthermore, they may be indicative of a lack of controls within the Customer Master Record (CMR) update process, controlled by the customer fulfillment organization.

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PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Purchase transactions information from accounts payable	Use various filters to determine: - Which commodity codes or vendor ids are generating tax codes for recoverable or non-recoverable tax? - The amount of time between the actual invoice date and the payment date. Depending on local laws, the tax point may be the invoice date or the payment date. Furthermore, there may be restrictions regarding the length of time IBM has to reclaim taxes incurred. - If re-calculated tax rates (amount of tax / net invoice value) are equal to the tax rates designated to each respective tax code.	Based on local law: - There may be restrictions as to when taxes can actually be recovered by IBM. A vendor or commodity code with both recoverable and non-recoverable items may present as a possible anomaly. - There may be restrictions as to the statute of limitations for reclaiming input taxes. Invoices with the greatest amount of time between invoice and payment dates may be an indication of control issues.	These items could indicate that system tables have not been properly updated, data input controls are inadequate, or that tax has not provided sufficient guidance to accounts payable teams regarding the appropriate use of tax rates. Furthermore, they may be indicative that standard accounts payable reports are not accurately capturing tax risks.

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PLANNING: Reference Material

General

- IBM Business Conduct Guideline (w3.ibm.com/w3publisher/trust-compliance/bcgs/bcg-program)
- IBM Worldwide Corporate Accounting Practices (<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-practices-interpretations>)
- Corporate Instruction ET 127 - Business Continuity Management (IBM Corporate Documents - ET 127)
- Corporate Instruction - Finance 101 - Control of Disbursements (IBM Corporate Documents - FIN 101)
- Corporate Instruction –Finance 182 - Management Self Assessment of Control ([IBM Corporate Documents - FIN 182](#))
- Standard for Reconciliation of Balance Sheet Accounts ([AI CTRL 12-005 - Standard for Reconciliations of Balance Sheet Accounts.docx | Powered by Box](#))
- Accounting Instructions ([Accounting Policy & Financial Reporting - Accounting Instructions](#))
- GDPR ([GDPR \(General Data Protection Regulation\) - IBM Analytics](#))
- [Corporate Policy 130 - IBM Data privacy policy \(IBM Corporate Documents - CP 130\)](#)

Specific Tax Guidance

- Global Tax - <https://w3.ibm.com/w3publisher/tax-ibm>
- Tax Information Portal - <https://taxportalprod-tipciocid-prod.tax-portal.dal.app.cirrus.ibm.com/welcome>
- PwC Tax Summary - <https://taxsummaries.pwc.com/>
- EY Tax Summary - <https://www.ey.com/gl/en/services/tax/worldwide-vat-gst-sales-tax-guide---country-list>
- Deloitte Tax Summary - <https://dits.deloitte.com>
- European Commission VAT Guidance - https://europa.eu/youreurope/business/taxation/vat/index_en.htm

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Improper or unauthorized expenditures Tax payments	1. Payment Controls 2. System Access Controls	Determine whether the payments are processed using special manual process, using the regular treasury process, or using government supplied software. For payments using a special manual process: • Ensure account reconciliations which include tax payments are performed timely and accurately to identify unauthorized or inappropriate payments. • Ensure that payments are validated with tax return and receipt notification from tax authority or bank. For payments using treasury process: • Confirm that tax receives confirmation from Treasury once payment is executed and payment amount is matched to instructions and tax return. For payments using government supplied software: • Ensure that payments can only be processed to the tax authority. • Ensure that bank account numbers are only provided on a need-to-know basis. • Ensure account reconciliations which include tax payments are performed timely and accurately to identify unauthorized or inappropriate payments.

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PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Fraudulent Financial Reporting Tax Fraud	1. Account reconciliations 2. Management review of tax return and inputs	To ensure that the tax return is calculated accurately per local regulations: • Ensure that management has reviewed the tax returns, including input and output tax trends. • Review the tax return to ensure that all inputs to the return are supported with adequate documentation. • Review government audit findings and the subsequent results to ensure that corrective action has been taken to avoid recurring issues and ensure tax compliance. • Ensure tax-related balance sheet account reconciliations are performed timely, adequately supported, and approved by accounting management.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Tax Returns and Payments

Objective:

Ensure that tax returns and payments to taxing jurisdictions were submitted timely, accurate and properly approved.

Risk/Exposure:

IBM has a long-standing commitment to maintain correct and equitable relations with taxing jurisdictions. Late or incorrect payments could jeopardize that relationship, result in financial penalties, and adversely impact IBM's image.

- Overpayments could result in inefficient use of IBM assets and loss of potential interest income.
- Inaccurate or untimely payments could result in penalties and interest being assessed to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Tax Returns and Payments

Primary Test: Tax Payments (TR001.P)

Objective:

To ensure payments to taxing jurisdictions timely, accurate, and properly approved.

Approach:

Select a sample from the following types of activity:

- The number of payments were made were more than would normally be expected (such as a jurisdiction with quarterly payment requirements has five payments in one year).
- Full payments to jurisdictions which offer discounts for early payments.
- Jurisdictions with debit ledger balances, which would indicate a refund is due to IBM.
- Payments to jurisdictions where late fees were paid.
- Payments which had significant fluctuations from previous payments.

For the sample selected above, validate that:

- Payments were for the correct amount.
- Payments were properly approved.
- Payments were timely, and if the jurisdiction allows a discount for early payments, this was considered in payment timing.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Tax Returns and Payments

Primary Test: Tax Returns (TR002.P)

Objective:

To ensure that tax returns were submitted timely, accurate, and properly approved.

Approach:

Indirect taxes are taxes on business transactions, which mainly include (but are not limited to):

Value added tax (VAT) or Goods and Services Tax (GST)

- Sales and Use Tax (SUT)
- Personal property tax

For the indirect taxes selected for review, perform the following:

- Review the list of all legal entities and registrations and ensure that all appropriate legal entities have been registered with the applicable tax authority.
- Ensure that all registered legal entities have submitted the required tax returns.
- Review a sample of monthly, quarterly, or annual tax returns, and verify the figures on the tax returns to the associated supporting documentation. The following items should be included in this verification:
 - The appropriate tax percentages were applied.
 - If applicable, summary lists were accurately prepared.
 - All cross-border purchase activity was reported and treated appropriately.
 - Reverse charge for foreign services purchased were appropriately handled.
 - All cross-border sale activity was reported and treated appropriately.
 - Zero rate transactions were properly reported.
 - Any excess amounts were carried over, as allowed by applicable laws.
 - All tax refunds were claimed.
- Verify that tax returns were reviewed and approved prior to submission.
- Confirm that tax returns were submitted on time, or an extension was granted.
- Significant variances identified in the trend analysis were adequately explained.
- Validate that communications were appropriately classified as IBM confidential, and attached files were encrypted or password protected.
- Validate that personal data is properly protected and include GDPR requirements if applicable.
- Review the process used by local tax team to monitor tax regulations on a periodic basis, and steps taken to ensure compliance.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Tax Returns and Payments

Primary Test: Separation of Duties (TR003.P)

Objective:

Ensure that a separation of duties (SOD) assessment is performed and approved by the process owner or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Approach:

- Was the end-to-end process reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner or delegate?
- Were identified conflicts assessed for a determination? Was there supporting documentation to validate the assessment?
- If secondary controls are needed, were they identified and would they mitigate the conflict effectively?
- If financial processes are included in the end-to-end, were key controls over financial reporting (KCFRs) defined and implemented? Were they tested timely and properly with documented results?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Output Taxes

Objective:

To verify that there is an effectively managed process to ensure that billings from IBM are accurately calculated with regard to jurisdictional tax legislation.

Risk/Exposure:

Ineffective controls over the customer invoice and intercompany billing processes could lead to incorrect tax determination, incorrect billings, inaccurate tax returns, inaccurate payments to tax jurisdictions, interest, penalties, and customer dissatisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Output Taxes

Primary Test: Customer Billing Calculations (OT001.P)

Objective:

To verify that billings from IBM are accurately calculated with regard to jurisdictional tax legislation.

Approach:

Indirect tax has many dependencies:

- Fulfillment systems generally refer to Customer Master Records (CMR) to determine the taxability and location of goods and services being delivered.
- Fulfillment systems refer to a system matrix to apply a tax rate to each invoice. The tax rate will depend on the type of good or service that is being delivered, the delivery location, and may even depend on the delivery method (electronic license or compact disc) for software. Incorrect classifications could result in IBM charging a customer the incorrect amount of tax.

Analyze the universe of output invoices (export, intercompany, domestic sales, etc.) to select a risk-based sample of invoices to validate the following:

- The correct tax rate was applied.
- The invoice complied with the tax jurisdiction/regulatory requirements.
- The tax on credit and re-bills was handled properly.
- Intercompany transactions were adequately supported.
- The tax amount was included in the appropriate tax return based on the applicable tax point.

If there was a change in the tax rates or tax regulations, ensure the fulfillment systems were appropriately and timely updated to reflect the necessary change.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Output Taxes

Primary Test: Enterprise License Agreements (OT002.P)

Objective:

To verify that billings from IBM are accurately calculated with regard to jurisdictional tax legislation.

Approach:

For Enterprise License Agreements (ELAs), consolidated manual invoices are issued to the customer versus the system generated invoices. Manual invoices do not include same level of detail as system generated invoices (e.g., revenue per location, tax billed per location, taxed revenue vs. non-taxed revenue).

- IBM is legally obligated to provide a tax receipt reflecting what sales tax has been paid and the location to which it was paid.
- Tax is due based on the location where the software is downloaded.
 - In order to accomplish this, the billing team must bill revenue to the customer numbers with the download address. Then taxes will be correctly billed.
 - If the software was delivered to multiple locations, confirm that the applicable customer numbers were billed for each of those locations and not simply for one central site location.
 - Validate that manual invoices which are issued using a non-taxable jurisdiction are valid and not used to avoid tax.
- When a manual invoice is being issued to a customer, a reconciliation between the manual invoice, the system generated invoice, and the open accounts receivable for both revenue and tax is required and must be available to the Tax Department in the event of an internal or external audit or customer dispute. Check the following items:
 - Is the reconciliation of the manual invoices to the system generated invoices readily available and accurately prepared?
 - Is the reconciliation of the manual invoice to open accounts receivable accurately prepared? This would identify instances where the appropriate tax was billed in the system, but it was not included on the manual invoice issued to the customer and vice versa.
 - Do the locations, revenue, and tax identified on the system invoices match the information populated on the manual invoice?
 - Were any amounts identified on the manual invoices as tax recognized and/or written off as revenue (unjust enrichment)? This would indicate that the system contained a different amount of tax due.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Input Taxes

Objective:

To verify that there is an effectively managed process to ensure that billings to IBM are accurately calculated with regard to jurisdictional tax legislation.

Risk/Exposure:

Inadequate analysis and review of vendor invoices could lead to incorrect tax recoveries, inaccurate tax returns, inaccurate tax payments to tax jurisdictions, interest, penalties, and increased expenses.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Input Taxes

Primary Test: Vendor Invoice Calculations (IT001.P)

Objective:

To verify that billings to IBM are accurately calculated with regard to jurisdictional tax legislation.

Approach:

Indirect tax has many dependencies:

- The amount of use tax (for Sales and Use Tax regimes) IBM accrues, and remits depends on the commodity code that is entered into the procurement system.
- An incorrect commodity code could result in IBM accruing tax on pencils (at a pencil rate) when we have actually received software from a supplier.
- Some procurement systems allow the user to enter the ship-to location for a batch order. However, the user subsequently contacts the vendor and changes the ship to location, sometimes to multiple locations. Since the taxability of the item depends on the location it is shipped to, this would result in the incorrect amount of tax being paid by IBM.
- Accounts payable may record the incorrect amount of tax paid or incorrect recoverability if invoices are entered incorrectly. This would prevent IBM from recovering all eligible tax.

Analyze the universe of input invoices (import, intercompany, accounts payable, Concur/WWER, etc.) to select a risk-based sample of invoices to validate the following:

- The invoice complied with the tax jurisdiction/regulatory requirements and contained all the required information.
- The correct tax treatment was applied.
- The correct tax rate and tax code was applied.
- Sensitive invoices were properly classified, handled, and applied.
- Import tax matched to the import entry declaration or equivalent.
- Intercompany transactions were adequately supported.
- Transactions subject to withholding indirect tax were correctly identified and the withholding indirect tax was paid on time.
- The tax amount was included in the appropriate tax return based on the applicable tax point.

Review a sample of foreign VAT invoices to verify the following:

- The VAT was appropriately recovered according to the legislation.
- The VAT recovery was accurate.
- The VAT recovery was timely or submitted timely to the external service provider handling recoveries on IBM's behalf.

If there was a change in the tax rates or tax regulations, ensure the procurement and accounts payable systems were appropriately and timely updated to reflect the necessary change.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Balance Sheet Account Reconciliations

Objective:

Are all balance sheet accounts reconciled on a monthly or quarterly basis with valid supporting documentation and the appropriate management's review and approval?

Risk/Exposure:

Reconciliations performed correctly and on time are the primary controls to identify any differences between the general ledger and the systems which feed it. Failure to perform reconciliations consistently indicates a lack of management focus on essential financial controls and could lead to a misstatement of the company's financial position.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Balance Sheet Account Reconciliations

Primary Test: Account Reconciliation Performance (BS001.P)

Objective:

To ensure that account reconciliations are performed on a regular basis, and that reconciliation activity is supported by a management system which ensures control and performance of reconciliations for all accounts.

Approach:

- Request the ledger accounts that relate to indirect taxes.
- Ensure that the account groups were valid (division, major, minor or division, major, minor, ledger reporting unit (LERU)) and the description of the reconciliations were current.
- Ensure that each ledger account has been assigned to an owner with responsibility for reconciling the account as appropriate. A formal reconciliation is not required when the account balance is zero (major/minor/subminor/leru) and there is no current period activity. However, these accounts require due diligence by the accountant and the owning manager to ensure the validity of the balance (e.g., sub-ledger validation, verifying all source feeders were properly posted, etc.) and evidence of management review must exist.
- Ensure that selected reconciliations were supported with sufficient back up documentation and proper approvals. In the selected samples, make sure the entries or the activities recorded in the reconciliations were classified in the appropriate categories (content/variance aging), tracked and aged until they were cleared. When the content items exceeded the expected clearing date, they should be reclassified to aging variance and action should be taken when applicable. For any aging variance items, action plans should be put in place and tracked to make sure they will be cleared and prioritized.
- If there were any items in the reconciliations that could not be supported or identified, they should be called out as unreconciled items and should be reported properly and timely to the management. If there were any items that were written off, review the justification and management approvals.
- Document evidence of compliance testing and/or a quarterly review with accounting management's approval to validate the reconciliations are performed in accordance with the accounting guidelines.

Reference:

Standard for Reconciliation of Balance Sheet Accounts

<https://w3.ibm.com/w3publisher/worldwide-accounting-controls/accounting-instructions>